

Introduction

It is difficult to evaluate if a stock is over-valued or under-valued by simply looking at a company's market price. Hence, the valuation of any company is crucial before purchasing stock. We must acquire stocks when they are trading below their intrinsic value. In the previous section, we learned relative valuation where we did not calculate the exact value of the business.

As discussed earlier Absolute valuation is understanding and identifying the true value of the company. It involves calculating exact value for the company.

“The intrinsic value of a company is the discounted value of the cash that can be taken out of a business during its remaining life.”

- Warren Buffet